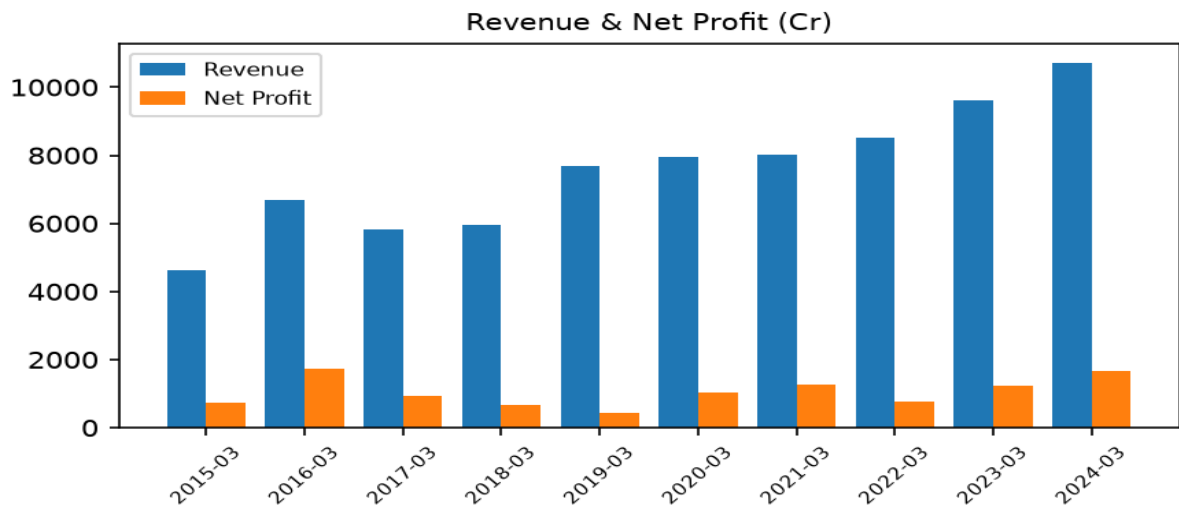


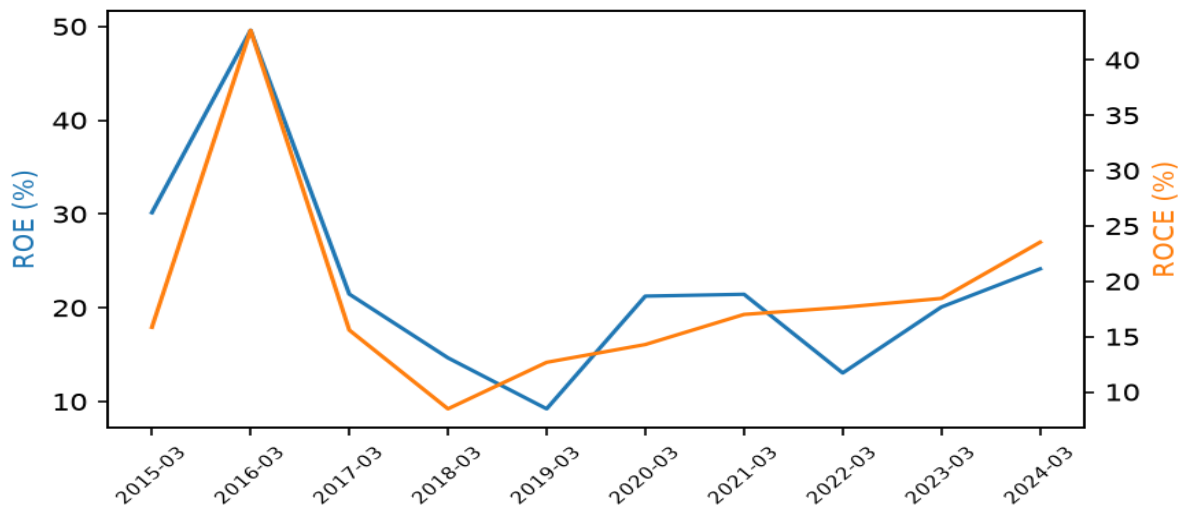
Torrent Pharmaceuticals Ltd (TORNTPHARM)

ROE 24.2%	ROCE 23.5%	Net Profit Margin 15.4%
D/E 0.6	Revenue CAGR 5yr 6.9%	Free Cash Flow (Cr) 3106.0

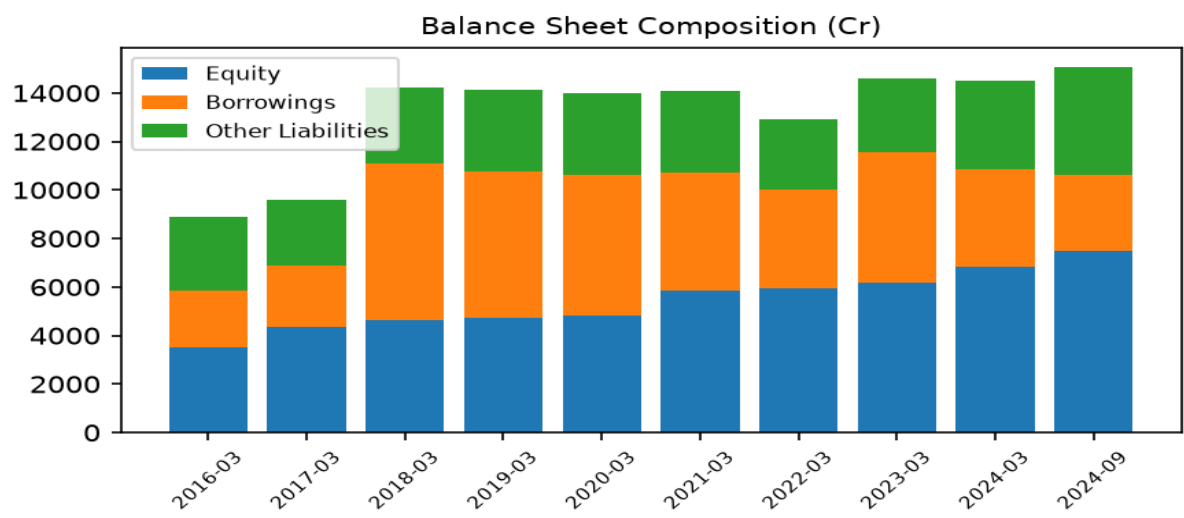
Revenue & Net Profit (10yr)



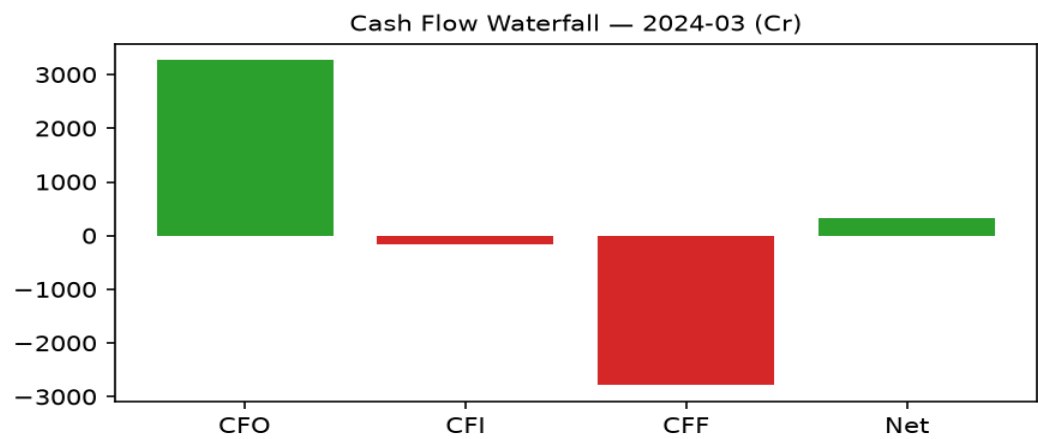
ROE & ROCE (10yr)



Balance Sheet Composition



Cash Flow (Latest Year)



Pros

- ✓ Strong free cash flow generation over 5 years signals healthy business fundamentals
- ✓ Operating profit margin above 25% indicates strong pricing power and cost discipline
- ✓ Net profit compounding at above 20% over 5 years creates significant shareholder value
- ✓ Consistent dividend yield above 2% backed by positive free cash flow
- ✓ Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- ✓ Return on equity improving for 3 consecutive years shows strengthening business quality
- ✓ Revenue growing slower than profits shows improving operating leverage and scale benefits
- ✓ Return on equity of 24.2% reflects the company's baseline capital efficiency.

Cons

- ✗ Debt-to-equity of 0.59 is a general leverage level worth monitoring alongside sector peers.

Capital Allocation: Shareholder Returns